will be some people who manage to do it, perhaps beating it for a few years. But if you look at the past three, five, 10, or 15 years, only about 15% of all professional mutual fund managers were able to beat the market.[41]

As a result, many of the greatest investors of all time suggest putting your money into an index fund that tracks the market instead of a mutual fund. Index funds usually have a lower **expense ratio** than actively managed mutual funds. The expense ratio is the money you pay the mutual fund company to manage your money. The lower the expense ratio, the more money in your pocket. Because actively managed mutual funds require an investor to research stocks and investments, they come with higher expense ratios. The average actively managed mutual fund has an expense ratio between 0.5% and 1%, while the average index fund has an expense ratio of 0.2%.[42] While these numbers seem small, they can literally add up to thousands—or hundreds of thousands—of dollars over a long period of time.

An expense ratio cuts into your ROI. For example, if an expense ratio is 1%, it means you will need to subtract 1% from your ROI, because that is the fee you pay to have your account managed. Table 8.2 compares an expense ratio of 1% with an expense ratio of 0.2% and demonstrates how each will affect your overall ROI.

41 Bob Pisani, "Active Fund Managers Trail the S&P 500 for the Ninth Year in a Row in Triumph for Indexing," *Trader Talk*, CNBC, March 15, 2019, https://www.cnbc.com/2019/03/15/active-fund-managers-trail-the-sp-500-for-the-ninth-year-in-a-row-in-triumph-for-indexing.html.

42 J.B. Maverick, "What Is Considered a Good Expense Ratio?," Investopedia, May 23, 2020, https://www.investopedia.com/ask/answers/032715/when-expense-ratio-considered-high-and-when-it-considered-low.asp.